# Social and Financial Return on Investment in Restorative Justice Conferencing Programs in Pennsylvania

## An Updateable Model for Policy Planning, Evaluation and Organizational Decision Making

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## Legislator Summary

*"When we hurt someone, we incur an obligation. Period. Nothing changes that obligation—not our own history of pain, our unhealed trauma, nothing."* – Danielle Sered (2019)

By engaging harmed and responsible parties and their families and friends in the process of taking accountability and repairing harm, and by treating all involved with dignity and respect, the restorative justice conferencing (RJC) process helps to ***repair individuals, families and communities***; ***break the cycle of victimization, shame and violence***; and ***make our communities safe*** for everyone.

RJC programs help ***harmed parties*** overcome the trauma they experienced by involving them in the process of defining both the harm done and the repair required. Harmed parties involved in RJC interventions report much **higher satisfaction with and respect for the process** than do those involved in conventional criminal processes. They report **much less fear** and **much less post-traumatic stress** than did those who go through the court system. They also **miss less work** and are **more likely to receive restitution**.

RJC programs insist that ***responsible parties*** take action to become fully accountable for the harm they caused to someone else. Becoming fully accountable means taking complete responsibility for one's actions, acknowledging and apologizing directly for the harm caused, taking action to repair the harm caused, and refraining from repeating that harm. Importantly, RJC **reduces recidivism** by 7 to 29% (depending on crime, timeline, and jurisdiction) and gives responsible parties an opportunity to become **productive citizens.**

RJC programs are **cost-effective**. Experience and studies suggest that adult-oriented RJC interventions cost less than $6000 per case, compared to $15,000 to $75,000 or more for criminal justice cases. RJC programs also make criminal justice systems **more efficient** in that their use as diversion programs has been shown to *double* the number of offences cleared.

Using a model that can be adjusted to reflect local costs and benefits, we estimate that the **impact return on investment** in adult RJC programs ranges from 6.14x to 15.34x, with 11.03x most likely.

| | |
|---|---|
| IROI Program Savings (v. Criminal Justice) | 5.69 |
| IROI Harmed Party Benefits | 1.61 |
| IROI Responsible Party Benefits | 2.32 |
| IROI Community Benefits | 1.41 |
| **Total IROI of Investing in RJC** | **11.03** |

**<u>Bottom line:</u> Establishing a restorative justice conferencing program in your community will reduce crime, help crime victims, strengthen community, make criminal justice more efficient, and return $11.03 in direct benefits and avoided costs for every dollar invested.**

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## User Summary: The Impact of Restorative Justice Programs

This report documents the impact return on investment in adult restorative justice conferencing (RJC) programs that offer community-led, trauma-informed resolutions to crimes committed and harm caused by adults.[1] The goal of the impact return on investment model is to provide restorative justice organizations, DA's offices, and community stakeholders the information they need to make strategic choices about the use and improvement of restorative justice conferencing programs. The model is flexible and can be adjusted to reflect the realities of different communities, jurisdictions and RJC programs. Model output can also be presented in various ways for communicating to the wider public, reporting to government and private funders, and helping RJC programs improve their efforts.

**Restorative Justice Process**

Restorative Justice programs insist that *responsible parties* take action to become fully accountable for the harm they caused to someone else. Becoming fully accountable means taking complete responsibility for one's actions, acknowledging and apologizing directly for the harm caused, taking action to repair the harm caused, and refraining from repeating that harm (Sered, 2019). RJC programs also help *harmed parties* overcome the trauma they experienced by involving them in the process of defining both the harm done and the repair required. By treating both harmed and responsible parties with dignity, the RJC process helps to *repair families and communities*, breaking the cycle of victimization, shame and violence (Baldwin, 1998; Braithwaite, 2000), while also increasing social and system-level trust (Tyler, 2003).

While details vary by program, the core RJC process typically includes:

- Preparation with responsible party(ies) to determine commitment to the process and to lay the groundwork for accounting for the harm caused.
- Preparation with harmed party(ies) to understand the harm done to them; requirements to ensure their physical and psychological safety during the process; degree of involvement desired (e.g., face to face or through a proxy).
- Facilitated conference in which the harmed party details the harm caused; the responsible party takes responsibility, acknowledges and apologizes for the harm caused; and works out, with the guidance of the harmed party, a contract for repairing the harm and changing behaviors and situations to prevent future similar harm.
- Monitoring of responsible party until they fulfill the contract.

Successful RJC programs also:

- Co-manage the interface with the criminal justice system – including receiving referrals, referring those who do not complete contracts back to the criminal justice system, and

[1] This report focuses on RJC interventions for adult responsible parties charged with violent crimes such as robbery and assault. Many programs work with juvenile responsible parties and a smaller number with more violent crimes or with intimate partner violence (e.g. Community Works, 2022).

ensuring that responsible parties' records are cleared once their contracts are completed successfully.

- Manage relationships with key officials in the local criminal justice system.
- Provide referrals to wraparound services for both responsible and harmed parties.
- Follow up regularly with responsible parties and harmed parties (if desired by the harmed parties).

Finally, RJC programs often collaborate or even contract with the local District Attorney's office. For example, the DA's office determines which responsible parties to divert to RJC programs – often first-time offenders; clears the records of responsible parties after documented completion of RJC contracts; and may provide funding.

**Effectiveness of RJC**

National studies and experience of pioneering adult-focused RJC programs such as Common Justice in Brooklyn and Healing Communities USA in Philadelphia, suggest that RJC interventions are both effective and cost-effective.

At the community level, RJC programs **strengthen social networks, social trust and civic engagement** by connecting harmed parties, responsible parties and their families and friends in the process of accountability (Braithwaite, 2000; Grimsey Jones & Harris, 2022; Tyler, 2003).

More concretely, program records suggest **reduced recidivism rates** for those who complete a competent, adult-oriented RJC program. The recidivism rates for responsible parties who have completed RJC programs range from 6% to 19% within *five years* of completing the contract (Kimmenez, 2024; Sered, 2019). These rates are much less than Pennsylvania's ~35% three-year recidivism rate (Bucklen et al., 2022),[2] and suggest that RJC programs reduce recidivism rates by *at least* 16-29%. This is broadly consistent with meta-analyses across multiple studies that reported 7% and 15% *reduction* in recidivism rates for participants in RJC interventions, as compared to those conventional process (respectively, Latimer, Dowden & Muise, 2005 and Strang et al., 2013).[3] Combining these studies suggests that RJC programs reduce recidivism by 7% to 29%.

Participation in RJC programs have **positive effects** on **harmed parties**. Studies consistently report that harmed parties involved in RJC interventions report much higher satisfaction with and respect for the process than do those involved in conventional criminal justice processes (Grimsey Jones & Harris, 2022; Latimer, Dowden & Muise, 2005; Strang et al., 2013). Indeed, a systematic review of 35 research studies reports that 95% of harmed parties felt **valued and**

[2] Bucklen et al. report a 64.7% overall three-year recidivism rate, with 54% re-arrested for technical parole violations. .54*.647 = .35.

[3] This estimate is probably high because the recidivism rates reported for Pennsylvania include recidivism by individuals who would *not* be diverted to RJC programs – such as those with severe mental health or substance abuse issues.

**heard** during the RJC process – as compared to only 40% during a criminal justice process. Further, 90% of harmed parties participating in RJC reported that the process provided **meaningful answers** about the harm the experienced (Nascimento, Andrade & Rodrigues, 2023). In addition, harmed parties spend much less time going to court and are much more likely to **receive restitution** from responsible parties (Latimer, Dowden & Muise, 2005; Sherman & Strang, 2007; Ward, Link & Christy, 2020). Perhaps most important, harmed parties reported **50% less fear** of their offender and **35-50% less post-traumatic stress** than did those who went through the courts (Angel et al., 2014; Nascimento, Andrade & Rodrigues, 2023; Sherman & Strang, 2007).

Restorative Justice programs insist that **responsible parties** take action to become **fully accountable** for the harm they caused to someone else. Becoming fully accountable means taking complete responsibility for one's actions, acknowledging and apologizing directly for the harm caused, taking action to repair the harm caused, and refraining from repeating that harm. Becoming fully accountable is deeply humanizing and enables responsible parties to overcome shame, restore dignity, and feel more connection with and responsibility to the community at large (Baldwin, 1998; Braithwaite, 2000; Grimsey Jones & Harris, 2022; Sered, 2019). Practically, responsible parties who successfully complete their contract to repair harm benefit from a second chance to become **productive citizens**. Their records are expunged, which opens up educational and work opportunities closed to those who have been incarcerated (Ella Baker Center et al., 2015). At a minimum, the chance to work and to develop even a modest amount of skill leads to the possibility of annual income of between approximately $15,000 (at minimum wage) and $42,000 (some computer-related training) (Bureau of Labor Statistics, 2023; Califano, 2025).

Anecdotal evidence suggests that RJC programs are also **less expensive** to provide because, although intense, the process is less time-consuming overall, does not involve expensive attorneys, and avoids many court costs and fees (Dominguez & Raphael, 2015; Kimmenez, 2024). Dominguez & Raphael (2015) estimated that RJC interventions cost $1000-$3000 per case, although our current estimate, informed by interviews with RJC programs suggest that the costs may be closer to $6000 per case in 2025. Even so, the costs compare favorably to $10,000-$50,000 per felony case handled through the usual criminal justice system (in 2015). In addition, **incarceration** is the largest cost associated with traditional criminal justice procedures and can cost between $30,000 and $60,000 per inmate per year (Dominguez & Raphael, 2015). Our 2025 estimates suggest a range of $15,000-$75,000, including incarceration, for prosecuting adult responsible parties who would be eligible for RJC. Finally, RJC programs make criminal justice systems **more efficient** in that their use as diversion programs has been shown to *double* or even *triple* the number of offences brought to justice (Sherman & Strang, 2007).

**Impact Return on Investment in Restorative Justice**

Recently, Grimes Jones & Harris (2022) have calculated **social and economic return on investment** for RJC programs in England and Wales. They estimated a 14x social benefits return

on investment and documented that avoiding one year of prison for one person covers the costs of RJC interventions for 50 people.

In this study, we estimate that the impact return on investment in adult RJC programs ranges from 6.14x to 15.34x, with 11.03x most likely.

| | |
|---|---|
| IROI Program Savings (v. Criminal Justice System) | 5.69 |
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To make these estimates, we developed a model that can be adjusted to reflect local costs and benefits and updated as new data becomes available. The model is outlined in the following two sections of this report and in the accompanying spreadsheet.[4] We conclude with some thoughts about the uses of this estimation, including ways to adapt it for communities other than Philadelphia, as well suggestions for improving the estimation.

Finally, as useful as such estimates are, we must never forget that the value of accountability and repair at individual, family, and community levels is incalculable. We recommend that all attempts to estimate impact return on investment be accompanied by quotations and stories that communicate the impossible-to-measure benefits of restorative justice conferencing.

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[4] See Appendix 1 for a discussion of the methodological approach taken in this report.

## Logic: Connecting Restorative Justice Conferencing Interventions to Individual Outcomes & Community Impacts

In this section, we sketch the logic models that link the theory of change for restorative justice conferencing programs to measurable outputs, outcomes, and impacts. We start with an overall theory of change for RJC programs and then discuss the logic models of impact related to harmed and responsible parties. See Appendix 2 for the harmed party logic model and Appendix 3 for the responsible party logic model.

**Theory of Change for Restorative Justice Interventions**

By engaging harmed and responsible parties and their families and friends in defining the harm done and repair required; by insisting that responsible parties take action to fully acknowledge and repair the harm done; and by reducing the load on the criminal justice and incarceration systems – restorative justice conferencing repairs individuals, families, and communities; interrupts the the cycle of victimization, shame, and violence; and reduces the cost of keeping individuals, families, and communities safe and healthy.

**Logic Model – Harmed Party**

The logic model connecting RJC inputs and activities to outputs, outcomes, and impacts related to harmed parties is outlined in Appendix 2.

To develop the list of **inputs**, we sketched out the operations of a "typical" RJC program and identified the types of work and capabilities required to do the work. These include: facilitation (of RJC circles), relationship management (with clients and the larger justice system), case management, advocacy, and back-office work such as organization, finance, human resources, etc. The inputs required to support this work include: funds, people to do both direct and support work, and space for meetings and offices.

In turn, the inputs enable RJC program **activities**:

- Case-oriented pre-conference, conference, and post-conference activities.
- Ecosystem management – such as building and maintaining connections with community support service providers, justice system partners, community groups, politicians, funders, etc.
- Education for the public, at-risk individuals, and other stakeholders.

These activities lead to a variety of **outputs** related to harmed parties, including:

- *Validation of the harmed parties experience*, including associated physical, financial, and emotional effects.
- *Reflection on and processing of the experience of being harmed*, offering the opportunity to relieve some of the fear, stress, and even shame.
- *Voice and agency* in influencing repair efforts.

- *Identification of needs* leading to connection with appropriate service and support providers.
- *Written plan for repair*, including follow-up processes, to facilitate timely restitution and closure.
- *Avoided costs of participation in the criminal justice system* – for example, having to miss work and find childcare – because RJC programs are often scheduled flexibly to meet the needs of those involved with the least negative impact to childcare and work responsibilities.

These outputs support **outcomes** for harmed parties, including:

- *Improved mental and physical health* related to reduced stress and shame, increased sense of agency and empowerment, and increased social ties (and reduced isolation) – all as a result of participating in, and receiving the benefits of, the RJC- facilitated process leading to the responsible party's efforts to repair the harm done (Angel et al., 2014; Herman, 2010; Nasciemento, Andrade & Rodrigues, 2023; Sered, 2019).
    - Mental and physical health are also enhanced by increased connectivity to social services, thanks to the RJC program's wrap-around services.
    - A stronger sense of community – trust in community is improved, fear reduced, and social connections are increased – by participation in RJC process (Grimsey Jones & Harris, 2022; Kimmenez, 2024; Sered, 2019).
- *Modest economic benefits* due to:
    - The benefits associated with *not* missing work or having to find childcare to participate in the RJC process – as compared to having to miss work and find childcare to participate in the much longer and less flexibly scheduled criminal justice process.
    - Any financial or service restitution paid or provided by the responsible party as part of the "repair harm" contract.

Finally, as RJC interventions are repeated over time and in a community, the outcomes experienced by harmed parties may combine into community-level **impacts:**

- *Healthier communities*, including more hope, stronger flows of mutual aid, physically and mentally healthier families (Grimsey Jones & Harris, 2022; Sered, 2019).
- *Increased civic participation and advocacy* – including banding together to reduce community harm from both within and without (Braithwaite, 2000; Tyler, 2003) – as happened as part of RJC interventions to repair harm related to looting and police response related to the initial bursts of anger and despair around the killing of George Floyd (Kimmenez, 2024).
- *Increased economic wealth* as increased community-centered engagement and entrepreneurship facilitates increased circulation of wealth and skills in the community (Civic Economics, 2022; Jacobs, 1969; Light & Gold, 2000).

**Logic Model – Responsible Party**

The logic model for responsible parties is outlined in Appendix 3. The **inputs** and **activities** are the same as those outlined in the harmed-party logic model.

Many of the **outputs** are the same as well, but several have a different flavor when applied to the responsible party. The outputs of *reflecting* on the experience of *doing* harm combined with the *validation* of having *voice* and being a full participant in the process of taking accountability and repairing harm are a critical piece of the restorative process (Caulker, Hoffman, Terry, 2011; Sered, 2019). Further, embracing accountability and repairing harm not only leads to concrete efforts to repair harm, it also increases empathy and connectedness and reduces the fear, helplessness, isolation, and shame that are underlying drivers of violence (Baldwin, 1998; Sered, 2019).

Specific to the responsible party are several additional outputs:

- *Doing* the repair promised in the plan for repair. Examples include making a full apology, paying restitution, doing community service, pursuing education, making an actionable plan to prevent further harm from happening, and other actions particular to the harm caused (Kimmenez, 2024; Sered, 2019).
- Once the responsible party has fulfilled their promise, then their *record is expunged* – another output, and one that has many positive economic and educational outcomes (Pager, 2003).
- Often, the repair process includes taking *steps to change one's trajectory in life* – furthering education, taking a job, etc. (Kimmenez, 2024; Sered, 2019).

These outputs provide the foundation for set of distinctive individual-level **outcomes** for responsible parties.

- *Shift in mindset*, leading to a reduction in violent responses and associated reductions in harms caused and risk of being harmed (since violence so often begets more violence) (Aggarawal et al, 2019; Sered, 2019).
- *Avoidance of re-offense and incarceration* – and so reduction of the large tolls that these take on the individual and society (Dominguez & Raphael, 2015; Ella Baker Center et al, 2015; Grimsey Jones & Harris, 2022; Sered, 2019).
- *Improved income potential* (Califano, 2025), due to improved access to jobs and education once one's record is expunged (Ella Baker Center et al., 2015).
- For parents (and society), *benefits of keeping families together* and also avoiding foster care costs (Aggarawal et al., 2019).
- *Improved mental and physical health* related to reduction of stress and increase in agency (as with harmed party but through the mechanism of accountability) (Kimmenez, 2024; Sered, 2019).

Finally, the community-level **impacts** that accrue over time include:

- *Community-level avoided cost related to reduced violence*, especially retaliatory violence (Aggarawal et al., 2019).
- *Collective positive community effect of reduction of (avoidance of) incarceration*, repeat offense, foster care costs, and otherwise disrupting families and community (Ella Baker Center et al., 2015).
- *Healthier communities*, including more hope, stronger flows of mutual aid, physically and mentally healthier families (Grimsey Jones & Harris, 2022; Sered, 2019).
- *Increased civic participation and advocacy* – including banding together to reduce community harm from both within and without (Braithwaite, 2000; Tyler, 2003) – as happened as part of RJC interventions to repair harm related to looting and police response related to the initial bursts of anger and despair around the killing of George Floyd (Kimmenez, 2024).
- *Increased economic wealth as responsible parties contribute wages and taxes to the community* (Ella Baker Center et al., 2015), are involved in community-based entrepreneurship (Inside-Out Think Tank Focus Group, 2022), and increase civic engagement – all of which facilitate increased circulation of wealth and skills in the community (Civic Economics, 2022; Jacobs, 1969; Light & Gold, 2000).

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## Measurement: Estimating the Impact Return on Investment in Restorative Justice Conferencing Programs

The Impact Return on Investment (IROI) model in this report includes three levels of cost and benefits. The first level includes the activity-level avoided-cost benefits of diverting responsible parties to RJC programs rather than taking them through the more complex and expensive criminal justice system. The second level models the various outcome benefits to the harmed and responsible parties within a year of completing the RJC process. The third level looks at the impact-level community benefits realized within one year of the completion of the RJC process.

The following table provides a snapshot of the IROI for Philadelphia-based RJC interventions; these IROI estimates are generated by the financial model that accompanies this report. The IROI model was built from the logic models presented above but includes only those aspects of the model for which we could find or estimate a dollar value. Because it does not include every possible impact and because we used conservative estimates throughout, the model produces a very conservative estimate of impact. Finally, most of the assumptions used in the model can be adjusted to fit the realities in any given jurisdiction and/or to reflect more recent or more jurisdiction-specific research as that becomes available. Please see the accompanying spreadsheet for more detail – and to adjust these impacts for your jurisdiction!

**Estimate and Assumptions**

Our middle-range estimate of the total Impact Return on Investment (IROI) in a restorative justice conferencing program (assuming Philadelphia cost structure) is $11.03 for every dollar invested in RJC. Of this, the avoided cost benefit of diverting eligible responsible parties to RJC is 5.69x the per-case cost of RJC; the benefits to harmed parties is 1.61x the per-case cost of RJC; the benefits to responsible parties is 2.32x the per-case cost of RJC; and the one-year community level impact is 1.41x the per-case cost of RJC.

| **Benefits & Avoided Costs** | **Value of Benefits & Avoided Costs** (per case) | **IROI**[3] (Medium estimate of $ return / per-case cost of RJC[4]) |
|---|---|---|
| **1. Avoided CJS Costs**[1] | $32,077 | 5.69 |
| **2. Benefit to Harmed Parties**[1] | $9,090 | 1.61 |
| **2. Benefit to Responsible Parties**[1] | $13,099 | 2.32 |
| **3. Community Impact**[2] | $7,941 | 1.41 |
| **Total** | **$62,207** | **11.03** |
| **Notes** | | |

1. Value benefits are per case. Assume 1 year for benefits and avoided costs, including intervention.
2. Value benefits are per case. Assume 1 year after completion of contract.
3. IROI = Value of benefits generated / 1-year program cost. No discounting applied because timelines are short (alleviating deadweight and uncertainty concerns) and because we tried to account for attribution concerns by being conservative how we measured values attributed to outcomes and impacts.
4. The per-case RJC program cost for 1 year (that is, the denominator for IROI calculation) is: **$5,781**.

Of course, the model is sensitive to a number of assumptions. In particular, changing the assumptions about the "typical" per-case cost of a criminal justice system – especially incarceration rates and costs – can shift the IROIs notably, from a low of 6.14 to a high of 15.34. Changing the assumptions about incarnation rates contributes to this range of IROIs. The IROI estimates are also sensitive to the cost of RJC. For example, increasing the per-case cost of RJC to from $5781 to $7000 reduces the middle-range IROI estimates to 8.69 in total, with 4.39 related to avoided CJS costs, 1.30 related to benefits to harmed parties, 1.87 related to benefits to responsible parties, and 1.13 related to benefits to the community.

**Measurement Choices**

Building any IROI model requires pragmatic choices about elements of the logic model to include or exclude, measures to use, and the time horizon for activities, outcomes and impacts. The following highlights some of the many measurement choices made when building our IROI estimates. Nearly all of these can be changed in the spreadsheet to reflect local cost and benefit realities, more recent research, and/or more convincing proxy measures. Further, the spreadsheet contains links to the studies mentioned below; see the "HP, RP, Community Inputs" tab, column F.

Where possible, we included the elements of the logic model that have the biggest influence within the IROI model. Sometimes, though, we had to settle for less influential elements that are easier to measure or for which the data are more readily available. For example, conceptually and anecdotally, there are large psycho-social benefits related to responsible parties embracing accountability and these should be influential in the IROI model. These benefits are also harder to measure than the (also influential) economic benefits of having no criminal record. Because the economic benefits of expungement are well established, readily attributed to the RJC process (since completion of the harm-repair contract leads expungement), and relatively easy to measure, economic benefits are more influential in the model than are psycho-social benefits. This is one of many reasons to augment our model with stories and anecdotes! Some things just cannot be measured well numerically.

When choosing **measures**, we strove for validity – that is, measures that capture the underlying element accurately. Ideal measures are direct – such as the cost of an RJC program, but we often had to rely on proxy measures – such as academic studies that document a link between voice in

the process, increased sense of self-worth, and reduced stress and trauma for harmed parties participating in the RJC process. Using proxy measures allows estimates of hard-to-measure elements. Of course, these proxies seldom if ever match perfectly the reality of RJC in any given jurisdiction; the model can always be improved by direct measurement of local reality. Also, proxy measures often indicate a range of values. To be conservative, we always chose the middle point of a range or even the more cautious end of the range. For example, studies suggested that obtaining one's GED with or without continuing education in technical skills can increase one's earning potential between ~$5000 and $27,000 more than the minimum wage of ~15,000. We used a low-middle estimate of $8840 for our calculations.

When choosing measures, we also thought about **marginal improvement** related to RJC – over and above the criminal justice alternative. For example, when estimating the percent of time that restitution promised is actually paid, we used 23% – the difference between the 89% restitution payment observed for the RJC process and the 66% observed in the criminal justice process.

Finally, we used short **time horizons** to keep the link between RJC program activities and the measures of benefits as tight as possible; this also allowed us to ignore time-value-of money considerations such as inflation and uncertainty. Throughout, we assumed a one-year time horizon for program activity costs; avoided costs benefits related to diverting responsible parties from the criminal justice system to an RJC program (first level of benefits); outcome measures related to harmed and responsible parties; and even for community impact measures. Besides keeping the logical connections tight, this approach makes the estimates that much more conservative.

**Model Structure**

The structure is outlined in the appendices as a series of "influence diagrams" and analyses that illustrate the relationship between observed measures, proxy measures and calculated values that underpin the spreadsheet model. These diagrams are closely but not precisely related to the actual spreadsheet structure; adjustments were made as the model was built.

- Appendix 4 – illustrates the model of the avoided cost benefits of diverting responsible parties from the criminal justice system into an RJC program.
- Appendix 5 – is an analysis of RJC harm-repair contracts to identify the benefits to harmed parties; this supports the model in appendix 6.
- Appendix 6 – illustrates the model of the outcome-level benefits of RJC engagement to harmed parties.
- Appendix 7 – is an analysis of RJC harm-repair contracts to identify the benefits to responsible parties; this supports the model in appendix 8.
- Appendix 8 – illustrates the model of the outcome-level benefits of RJC engagement to responsible parties.

- Appendix 9 – illustrates the model of the impact-level benefits of RJC engagement to the community.

**Assumptions**

Below is a table of the most critical assumptions. The assumptions and sources are described in more detail throughout the spreadsheet that accompanies this report.

| Assumption | Explanation | Comments |
|---|---|---|
| **Conservatism** | We tried to overestimate RJC costs – for example by including the additive cost of referred cases that ended up back in criminal justice.<br>Similarly, we tried to underestimate benefits – by only including marginal benefits (benefits over and above the alternative), by selecting only a few benefits per category, by picking lower values when multiple values were available, and by limiting the time horizon. | Author decision |
| **Time horizons & discounting** | <1 year for costs included in average per case activity cost.<br><1 year for costs included in the criminal justice system costs avoided by diverting responsible parties to RJC programs.<br>1 year for value of outcome benefits for harmed and responsible parties.<br>3 years for value of impact benefits for the community.<br>Because we keep the time horizons short (mostly within a year), we do not account for the time value of money. | Author decision |
| **Geography** | The costs and, where possible, the benefits are based on data specific to Philadelphia County. The model is designed so that the assumed numbers can be changed to meet the cost and benefit structure in any jurisdiction. | Author decision, based in part on access to data |
| **Unit of analysis** | Everything is calculated on a per case basis, assuming a typical or average case. That is one case is equal to one person charged *and* eligible for referral to RJC. | Author decision |
| **Avoided CJS Program Costs** | These are an estimate of CJS costs avoided due to diversion of cases to RJC. To do this, we estimate costs that would have been incurred | *Sheet 2: CJS Program Costs*<br>Incarceration costs are the largest driver and could be |

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| | in the criminal justice system if the responsible party were NOT diverted to an RJC program and then subtract the cost of the RJC intervention to obtain the avoided cost.<br>The CJS costs include some (not all) court-related costs such as DA's costs, public defender costs, supervision costs per day, incarceration costs. Some of the more significant costs are as follows (all on a per case basis).<br>-Cost of managing each case until diversion: $2000<br>-Court costs: $6000<br>-Cost of supervision: $746<br>-Cost of incarceration: $6,570 - $65,700 depending on charge, length, and base rate. | improved by studies that detail incarceration by charge. We account for some of the range in incarceration costs by providing low, medium and high estimates of avoided costs.<br>For many of the DAO costs, we used average costs at the level of the DAO's budget; that is, we were not able to find case-level estimates by type of charge. Having this detail would improve the estimates. |
| **Cost of RJC cases** | Cost of managing a given RJC case from intake through facilitated conference through follow-up, including percentages of wrap-around services, managing partners, and overhead. $5781.<br><br>Because this is the denominator for the IROI calculation, IROI estimates are sensitive to this estimate. See page 12 for an illustration of the sensitivity – in this case, increasing the estimated per-case cost of RJC to $7000. | *Sheet 3: RJC Program Costs*<br>Costs for stand-alone community programs are based on interviews with leaders of adult-oriented RJC programs (which are less expensive than youth-oriented ones). On the assumption that RJC programs will eventually scale up, we increased the reported costs to reflect higher wages and overhead costs (~30%) associated with larger social service agencies. |
| **Value of outcome benefits – Harmed Party** | Assumed 2 people harmed per case; it is often more, which would increase the IROI for harmed parties.<br><br>Low-end estimate of the per-case value of restitution received from responsible party: $1500.<br><br>Loss of income avoided by participating in RJC instead of CJS: $7500 | *Sheet 4: HP, RP, Community Inputs,* rows 17-24. |
| **Value of outcome benefits – Responsible Party** | Annual earnings due to NOT being incarcerated. $15,080. Assumed 97% had this opportunity to work, due to not being incarcerated. This number could be adjusted to reflect local employment rates (although the assumption of | *Sheet 4: HP, RP, Community Inputs,* rows 27-34. |

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| | minimum wage pulls down the total $ estimate).<br><br>Increased annual earnings (above minimum wage) due to completion of GED or additional education. $8,840. Assumed additional (over and above minimum wage) using national averages. Picked a low-medium estimate. Also assumed only 10% received completed additional education as part of contract.<br><br>Increased earnings due to expungement: $3016. Assume additional amount of work at minimum wage. Assume only 20% improvement (ranges from 16% for misdemeanor to 52% for felony). Also, 80% benefiting from expungement over and above the reality for those involved in CJS. | |
| **Value of impact benefits - Community** | Community service is a very small part of the community value for adult RJC cases.<br><br>Taxes associated with employment are more significant and are included as a percentage of wages, additional earnings due to additional education, and additional earnings due to expungement (lines 46-52).<br><br>Reduced costs associated with reduced recidivism. | *Sheet 4: HP, RP, Community Inputs,* rows 38-55. |
| **IROI Calculation** | The calculation is most sensitive to the:<br>• denominator – cost of RJCC;<br>• costs avoided by diverting to RJC rather than CJS;<br>• percentage of RPs avoiding incarceration and its costs;<br>• percentage of RPs earning wages;<br>• percentage of HPs benefiting from engagement in RJC. | *Sheet 5: Impact ROI* |

## Uses & Improvements

This report argues that investing in restorative justice conferencing reduces crime, helps crime victims, strengthens community, makes criminal justice more efficient, and returns $13.27 in individual, system and community benefits and avoided costs for every dollar invested. We expect this estimate to become more accurate – and most likely to show a higher IROI – as the underlying assumptions and proxy measures are vetted and improved.

The IROI model has certain advantages. The results are easy to communicate; the model provides data that facilitates conversation across the political spectrum and permits comparison with other investment opportunities; the model can be adjusted to reflect the costs and contexts in any jurisdiction; and the model is relatively transparent in that the sources and steps are public.

Importantly, the model can be used by both organizations and policy makers. The model can be used by organizations to communicate effectiveness and to analyze which of their efforts are bearing the most fruit. The model can be used by policy makers to facilitate discussion among stakeholders and to make data-informed decisions about the returns to their communities of investment in restorative justice.

The model also has weaknesses. First, it is somewhat complex and is more sensitive to some assumptions than to others. We attempt to reduce complexity by limiting the number of variables and by restricting the time frame to one year. We also provide the option of changing many assumptions to "pressure test" the model and to identify the most sensitive assumptions.

Second, the model requires additional effort to adapt to local contexts and to update as better estimates become available. We attempt to reduce this effort by providing documentation in the report, appendices and spreadsheets. We are also available to train interested parties in the use of the model.

Third, the model overemphasizes quantitative estimates of effectiveness and "return on investment." We encourage all users of this model to enhance the numbers with stories from participants in the RJC process. We find the numbers convincing, but it is the stories that are most compelling.

Looking ahead, we look forward to working with RJC stakeholders to improve the structure and assumptions that drive the model. We also look forward to helping organizations and policymakers apply this model as they work to customize and, we hope, expand restorative justice opportunities in their communities.

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*Thank you to the following people who generously shared their first-hand experience with RJC as well as providing commentary on suggestions for improving our thought process and model.*

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